

Title: Entrepreneurship and Crowdfunding

INTRODUCTION

In recent years, the symbiotic relationship between entrepreneurship and crowdfunding has emerged as a compelling domain within the realm of innovative business practices. This intersection has garnered significant attention owing to its potential to redefine traditional financing avenues, catalysing the growth and evolution of entrepreneurial ventures. As burgeoning technological landscapes continue to reshape economic paradigms, the convergence of entrepreneurial initiatives with the democratized access to capital through crowdfunding platforms has garnered substantial interest among scholars, practitioners, and stakeholders alike (Block et al., 2018).

This state-of-the-art literature review undertakes a thorough investigation into the complex relationship between entrepreneurship and crowdfunding, aiming to reveal the dynamic paths, evolving patterns, and significant effects within this mutually supportive system. The pivotal focus of this survey centres on dissecting the multifaceted strategies that underpin the fusion of entrepreneurial endeavours with the expansive reach and efficacy of crowdfunding mechanisms (Brown et al., 2017). Through a meticulous examination of contemporary academic repositories, including esteemed databases like the Brunel University and Luigi Bocconi University repositories, alongside the extensive resources available on Google Scholar, this survey endeavours to delineate the nuanced contours of this evolving landscape.

The advent of crowdfunding platforms has revolutionized the landscape of entrepreneurial finance, offering an unprecedented avenue for resource mobilization and market validation. However, this symbiosis extends beyond mere financial facilitation, encompassing the fostering of entrepreneurial ecosystems, ideation amplification, and community engagement. By illuminating the underlying strategies integral to this synergy, this survey aims to unearth the underlying mechanisms that fortify the bridge between innovative entrepreneurial pursuits and the burgeoning realm of crowdfunding.

This research endeavours to synthesize and critically analyse a compendium of scholarly articles, journals, and research papers, strategically curated from the expansive corpus of available literature. Through a systematic selection process anchored in stringent inclusion criteria and strategic keyword utilization employing Boolean operators, the survey distils a wealth of scholarly insights. These insights, culled from the final selection of meticulously chosen articles, pave the way for a comprehensive critical analysis, offering a panoramic view of the contemporary discourse and emerging trends within the domain.

As this survey navigates through the labyrinthine corridors of entrepreneurship-crowdfunding dynamics, it seeks to delineate the theoretical underpinnings, methodological approaches,

empirical findings, and theoretical advancements (Gundry & Kickul, 2015). By encapsulating a comprehensive panorama of this symbiotic relationship, this research aspires to contribute substantially to the scholarly discourse while illuminating potential avenues for future exploration and strategic implications for stakeholders vested in this transformative nexus.

METHODOLOGY

The research journey embarked on an extensive exploration of scholarly articles housed within prestigious academic repositories, chiefly the Brunel University and Luigi Bocconi University databases, complemented by the comprehensive resources available on Google Scholar. The overarching goal was to delve into the intricate and evolving relationship between entrepreneurship and crowdfunding (Junge, Laursen and Nielsen, 2021), focusing keenly on the pivotal strategies that propel their development. Initially, this expedition cast a broad net across the repositories, resulting in an initial yield of 3464 articles.

A crucial step in this meticulous search strategy was the implementation of a stringent date filter, restricting the publications considered to the timeframe between 2014 and 2021. This specific temporal boundary ensured the inclusion of contemporary and relevant literature that resonated with the rapidly evolving dynamics of entrepreneurship and crowdfunding.

Additionally, the NOT operator emerged as a vital cog in the search machinery, employed discerningly to exclude articles diverging from the study's focal point. Keywords like "politics," "fashion," "sports," and "entertainment" were deftly integrated with the NOT operator to sift out irrelevant content, ensuring that the ensuing search results were finely honed and aligned with the research's thematic underpinnings.

This rigorous and systematic search strategy culminated in a meticulously curated pool of 32 articles. Each article underwent a thorough vetting process, encompassing an in-depth examination of abstracts, key sections, and contextual relevance. This comprehensive evaluation served as the crucible for the final selection of 9 papers. These chosen articles were hand-picked based on their unwavering alignment with the research's overarching objectives, methodological rigor, and unwavering relevance to the study's core emphasis on the dynamic interplay between entrepreneurship and crowdfunding. This methodical and stringent filtering process was instrumental in facilitating a focused and comprehensive review of the most pertinent literature, underpinning the critical analysis of the interface between entrepreneurship and crowdfunding dynamics.

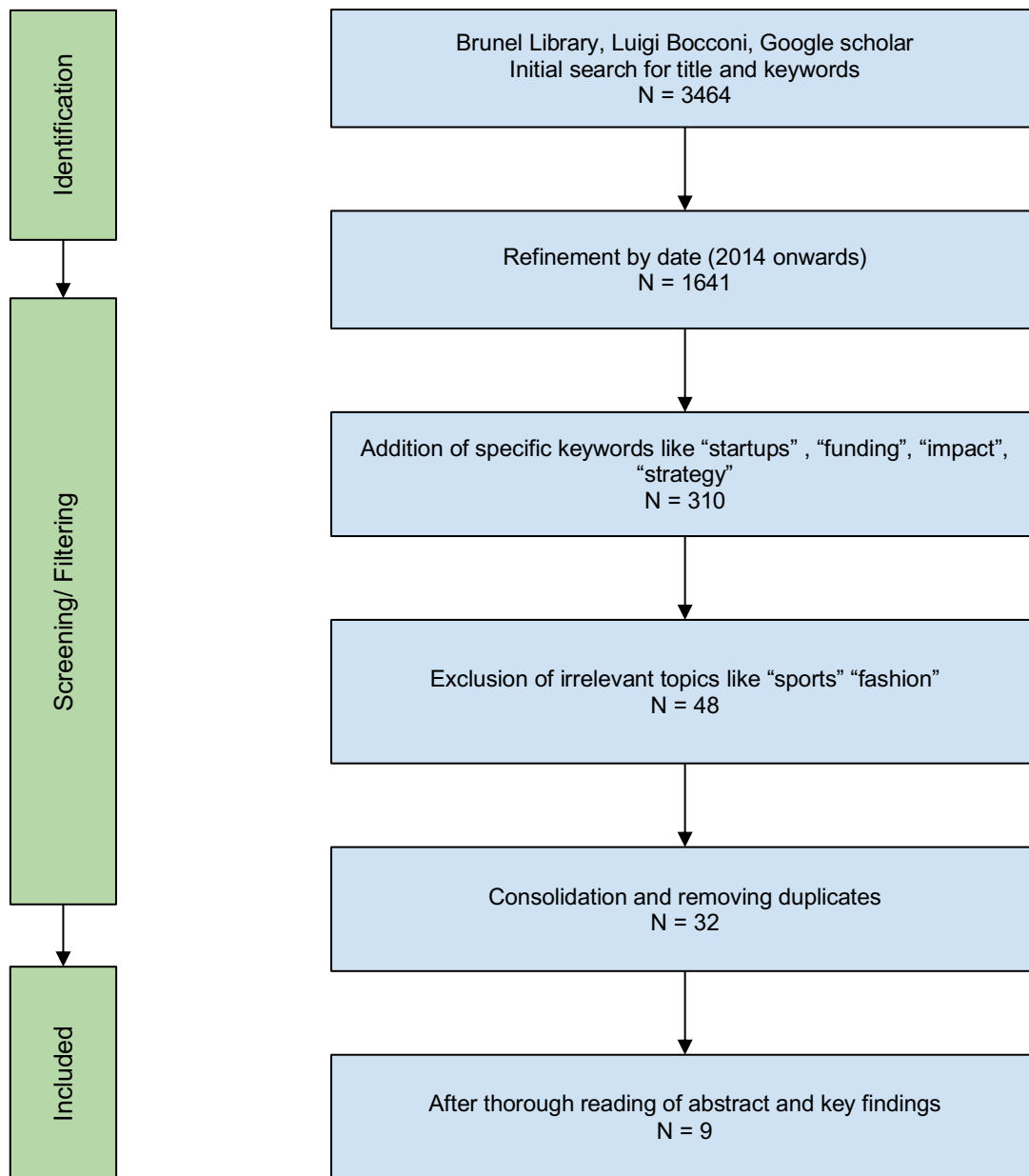


Fig 1. Steps to select research papers for critical review.

Article	Citations	Journal	Authors
Crowdfunding: Finding the Optimal Platform for Funders and Entrepreneurs.	76	Technology Innovation Management	David Gedda, Billy Nilsson, Zebastian Sâthén, and Klaus Solberg Søylen
New Financial Alternatives in Seeding Entrepreneurship: Microfinance, Crowdfunding, and Peer-to-Peer Innovations.	401	Entrepreneurship Theory and Practice	Gary Bruton, Susanna Khavul, Donald Siegel and Mike Wright
The Dynamics of crowdfunding: an Exploratory Study.	2560	Journal of Business Venturing	Ethan Mollick
Social entrepreneurship and digital platforms: Crowdfunding in the sharing-economy era.	37	Business Horizons	Vallari Chandna
Human Capital Signals and Entrepreneurs' Success in Equity Crowdfunding.	156	Small Business Economics	Evila Piva and Cristina Rossi-Lamastra
How Crowdfunding Platforms Change the Nature of User Innovation – from Problem Solving to Entrepreneurship.	88	Technological Forecasting and Social Change	Alexander Brem, Volker Bilgram and Anna Marchuk
Choosing crowdfunding: Why do entrepreneurs choose to engage in crowdfunding?	35	Technovation	Junge, L.B., Laursen, I.C. and Nielsen
Working the crowd: Improvisational entrepreneurship and equity crowdfunding in nascent entrepreneurial ventures.	96	International Small Business Journal	Ross Brown, Suzanne Mawson, Alexander Rowe and Colin Mason
Democratizing Innovation and Capital Access: The Role of Crowdfunding.	179	California Management Review	Ethan Mollick, Alicia Robb

Table 1: Author and citation details for selected research papers

CRITICAL REVIEW

These research papers employ diverse theoretical frameworks and methodologies aligned with their specific research objectives to unravel the intricate relationship between crowdfunding and entrepreneurship.

The selected papers exhibit a cohesive focus on the evolving landscape of entrepreneurship and innovation catalysed by crowdfunding mechanisms and digital platforms. Mollick and Robb (2016), Brem (2017), and Chandna (2021) collectively delve into the transformative power of crowdfunding. Mollick and Robb (2016) highlight how crowdfunding platforms democratize innovation and access to capital, opening new avenues for entrepreneurial ventures. Similarly, Brem (2017) and Chandna (2021) explore the shifts brought by crowdfunding platforms in transforming user innovation into entrepreneurial endeavours, emphasizing the impact on problem-solving dynamics and the emergence of entrepreneurship from collaborative problem-solving efforts. In parallel, Piva (2017) and Brown (2017) delve deeper into the specific dynamics of equity crowdfunding. They investigate the influence of human capital signals on entrepreneurial success within the realm of equity crowdfunding, shedding light on the factors that contribute to successful funding campaigns. Brown (2017) explores the improvisational aspect of entrepreneurship linked to equity crowdfunding, emphasizing the agile and adaptive nature of early-stage ventures utilizing crowdfunding platforms.

These studies collectively contribute nuanced insights into the multifaceted role of crowdfunding in reshaping entrepreneurial landscapes. They illuminate the democratization of funding, the convergence of problem-solving and entrepreneurship, the significance of human capital signals, and the improvisational dynamics characterizing nascent entrepreneurial ventures within the crowdfunding ecosystem. Through this holistic exploration, these papers collectively highlight the pivotal role of crowdfunding platforms in fostering entrepreneurship, driving innovation, and reshaping traditional paradigms of venture funding.

Among the cited papers, a cohesive focus exists on employing diverse theoretical frameworks to comprehend the multifaceted impact of crowdfunding on entrepreneurial landscapes, each adopting distinct yet complementary research approaches. Mollick and Robb (2016), Brem (2017), and Chandna (2021) converge on the transformative potential of crowdfunding platforms, each contributing unique perspectives through their research methodologies. Mollick and Robb (2016) ground their study in democratization theories, investigating how crowdfunding democratizes access to innovation and capital. Their empirical analysis and case studies offer a comprehensive view, shedding light on the democratizing role of crowdfunding. Similarly, Junge, Laursen and Nielsen (2021) emphasize user innovation theories, showcasing the evolution from problem-solving to entrepreneurial initiatives through empirical observations and qualitative analysis, providing an intricate understanding of crowdfunding's influence on entrepreneurial behaviours.

Chandna (2021), with a likely qualitative research approach, draws from social entrepreneurship theories to explore crowdfunding's role within the sharing economy. Chandna's study likely incorporates interviews or case studies, offering practical insights into leveraging digital

platforms for social ventures, enhancing the discourse on social entrepreneurship in the digital era.

Conversely, (Bruton et al., 2014) and (Gedda et al., 2016) adopt more specific research approaches focusing on distinct aspects of crowdfunding. Piva (2017), employing quantitative methodologies within the framework of human capital theories, analyses data to understand how human capital signals influence success in equity crowdfunding campaigns. This quantitative analysis contributes empirical evidence to comprehend the role of human capital in crowdfunding success.

On the other hand, Brown (2017) likely employs qualitative and exploratory methodologies, leaning on improvisational theories to delve into the improvisational nature of ventures utilizing equity crowdfunding in early stages. Through qualitative data collection methods such as interviews or observations, Brown's study may capture the agility and adaptability of early-stage ventures within the crowdfunding ecosystem.

These diverse research approaches reflect the nuanced dimensions of crowdfunding's influence on entrepreneurship and innovation. From empirical analysis and case studies to quantitative and qualitative methodologies, these studies offer comprehensive insights into the multifaceted dynamics between crowdfunding and entrepreneurial ecosystems, capturing varied aspects of this evolving landscape.

Across the papers, there's a collective exploration of key findings shedding light on diverse yet interconnected themes within the realm of crowdfunding and entrepreneurship. Mollick and Robb (2016), Brem (2017), and Chandna (2021) converge on the transformative impact of crowdfunding platforms. Mollick and Robb (2016) illuminate how crowdfunding democratizes access to capital and innovation, emphasizing the empowerment of diverse innovators. Similarly, Brem (2017) underscores how crowdfunding platforms transform user innovation into entrepreneurial initiatives, fostering an ecosystem conducive to problem-solving and entrepreneurship. Chandna (2021), exploring social entrepreneurship in the sharing economy, highlights how digital platforms can amplify social ventures, emphasizing the need for inclusive approaches in crowdfunding initiatives to drive social change.

Conversely, Piva (2017) and Brown (2017) delve deeper into more specific aspects. Piva (2017) identifies the significance of human capital signals, demonstrating their impact on the success of equity crowdfunding campaigns, providing insights into the role of expertise and skills in securing crowdfunding support. In contrast, Brown (2017) focuses on the improvisational nature of ventures using equity crowdfunding, emphasizing the agile and adaptive strategies early-stage ventures adopt within the crowdfunding landscape.

These nuanced findings collectively underscore crowdfunding's multifaceted role, from democratizing access and fostering problem-solving to leveraging human capital and fostering improvisational strategies. While they exhibit variations, the findings collectively enrich our understanding of crowdfunding's dynamic impact on entrepreneurial landscapes.

Among the papers, distinct sample characteristics and analyses are evident, reflecting varied

research focuses. Mollick and Robb (2016) present a diverse sample, examining various crowdfunding campaigns and innovators to explore democratization theories, employing quantitative analysis and case studies to highlight the accessibility of crowdfunding platforms to a broad range of innovators. Brem (2017) employs a similar approach, focusing on users of crowdfunding platforms to analyse how user innovation evolves into entrepreneurial initiatives, utilizing empirical observations and qualitative analysis to understand user behaviours and platform dynamics. Chandna (2021) likely incorporates case studies or interviews within the context of social entrepreneurship, exploring the characteristics of social ventures utilizing digital platforms for crowdfunding, emphasizing the inclusivity and social impact of these initiatives.

On the other hand, Piva (2017) and Brown (2017) adopt more specific sample characteristics and analyses. Piva (2017) focuses on entrepreneurs engaged in equity crowdfunding campaigns, utilizing quantitative methodologies to analyse data on human capital signals and campaign success. In contrast, Brown (2017) likely conducts qualitative analyses, possibly through interviews or observations, to delve into the characteristics and strategies of early-stage ventures leveraging equity crowdfunding, emphasizing the improvisational nature of these entrepreneurial endeavours.

These nuanced sample characteristics and analyses shed light on diverse facets of crowdfunding and entrepreneurship. While some studies focus on broad samples and employ quantitative and case study analyses, others concentrate on specific characteristics and adopt qualitative or quantitative methodologies to explore nuanced aspects within the crowdfunding landscape.

The paper explores the relationship between entrepreneurs' human capital signals and their success in equity crowdfunding. The paper finds that business education and entrepreneurial experience are predictors of success in equity crowdfunding (Piva, 2017).

The discovery that success in equity crowdfunding is linked to business education and entrepreneurial know-how highlights the significance of human capital. In this realm, investors seek not only innovative concepts but also entrepreneurs equipped with the expertise and experience to translate those concepts into prosperous ventures (Piva, 2017).

These studies employ varied methodologies and theoretical foundations, allowing for a comprehensive investigation into the correlation between entrepreneurship and crowdfunding. Ranging from qualitative interviews to systematic reviews and empirical analyses, each paper presents a distinct perspective on this evolving domain.

CONCLUSION

The amalgamation of research papers exploring the intricate relationship between crowdfunding and entrepreneurship has shed illuminating insights on how crowdfunding acts as a catalyst for empowering entrepreneurs. These studies have unveiled a diverse array of strategic approaches, emphasizing the pivotal role of tailored strategies aligned with campaign objectives. From insights gleaned from reward-based crowdfunding, like leveraging personal networks, emphasizing project quality, and mastering compelling storytelling, to revelations from equity

crowdfunding highlighting the pivotal importance of robust human capital signals such as business education and entrepreneurial experience, these findings equip entrepreneurs with tangible tools to bolster their fundraising efforts. The democratization of user innovation through crowdfunding platforms emerges as a transformative avenue, facilitating the transition of nascent ideas into viable entrepreneurial ventures.

However, within the realm of these commendable findings, it's vital to acknowledge the inherent limitations existing within this corpus of research. The tendency to concentrate on specific crowdfunding platforms or regional contexts might potentially curtail the broader applicability of these findings. Moreover, reliance on conceptual frameworks and qualitative methodologies necessitates more robust empirical validation, advocating for comprehensive studies to authenticate these conceptual models. Concerns revolving around limited sample sizes and the absence of analyses across multiple platforms further accentuate the challenges in universally applying these findings across the expansive crowdfunding landscape. Critically, the narrow focus on the crowdfunding process often obscures an exploration into the enduring outcomes for ventures that have secured funding, compelling the need for substantial research in this relatively unexplored domain.

For entrepreneurs, the insights presented in these studies offer actionable strategies. Nevertheless, it's crucial to exercise caution when navigating potential variations across regions and diverse crowdfunding models. The necessity for empirical data becomes increasingly pronounced, shaping strategies and optimizing the utilization of the multifaceted crowdfunding ecosystem. The convergence of empirical rigor, cross-cultural exploration, and a comprehensive understanding of the long-term implications of crowdfunding ventures emerges as the guiding compass for future research pathways.

In summary, while the reviewed papers offer invaluable insights, their limitations underscore the need for extensive, diverse empirical studies. These studies should deeply explore the intricacies of crowdfunding and its lasting effects on entrepreneurial endeavours. This emphasizes the importance of amalgamating empirical evidence with robust theoretical frameworks to foster a more profound and nuanced understanding of the various dimensions of crowdfunding within the entrepreneurial landscape. Such a holistic approach holds the potential to unravel the complex dynamics and impacts of crowdfunding, paving the way for more informed strategies and decisions in the entrepreneurial realm.

This research serves as a foundational steppingstone, elucidating the connections between crowdfunding and entrepreneurship. However, to chart a comprehensive course, future investigations must address these limitations, delve deeper into nuanced aspects, and embrace a more expansive perspective, encompassing diverse platforms, cultural contexts, and longitudinal analyses. Only through such multifaceted and rigorous exploration can we unravel the full

potential and implications of crowdfunding as a driving force for entrepreneurial innovation and growth.

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